# Online Appendix for "The Price of Delaware Corporate Reform"

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## 1 Event Study Framework

### 1.1 Definition of Analysis Windows

Event studies in corporate governance and finance rely on two distinct intervals. First is the estimation window, used to model the stock's normal co-movement with systematic risk factors; in our baseline specification this spans trading days –250 to –20 relative to the event. Second is the event window, over which any abnormal price response is measured; here, it covers trading days –1 to +5. We start one day before the announcement to capture possible information leakage and extend a few days after to observe post-announcement adjustments. In the following table, we index observations in the estimation window by $s \in \mathcal{S}$ and those in the event window by $t \in \mathcal{T}$.

| **Window** | **Index Symbol** | **Trading-Day Range** | **Number of Obs.** |
|---|---|---|---|
| Estimation window | $s \in \mathcal{S}$ | $\mathcal{S} = \{-250, \ldots, -20\}$ | $T = 231$ |
| Event window | $t \in \mathcal{T}$ | $\mathcal{T} = \{-1, \ldots, 5\}$ | $L = 7$ |

Trading day 0 marks the disclosure date—here, the public announcement of Senate Bill 21. We label observations in the estimation window with the subscript $s$ and those in the event window with $t$, keeping model calibration and impact assessment strictly separate.

### 1.2 Variable Definitions

In the following table, we define the variables used in our event-study analysis. The data sources are documented in Part III, Section 3 of the main paper.

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(a) Variables for the Benchmark Market Model

| Symbol | Description |
|---|---|
| $R_{is}$ | Raw daily return on security $i$ in the estimation window. |
| $R_{it}$ | Raw daily return on security $i$ in the event window. |
| $R_{ms}$ | Raw daily return on a value-weighted total-return index in the estimation window. |
| $R_{mt}$ | Raw daily return on a value-weighted total-return index in the event window. |

(b) Additional variables required for the Fama–French Three-Factor model

| Symbol | Description |
|---|---|
| $R_{fs}$ | Daily risk-free rate in the estimation window (1-month T-bill). |
| $R_{ft}$ | Daily risk-free rate in the event window (1-month T-bill). |
| $MKT_s = R_{ms} - R_{fs}$ | Fama French Excess-market factor in the estimation window (broad market portfolio's return above the risk-free rate). |
| $MKT_t = R_{mt} - R_{ft}$ | Fama French Excess-market factor in the event window (broad market portfolio's return above the risk-free rate). |
| $SMB_s$ | Fama French Size factor (small minus big) in the estimation window (return spread of small-cap minus big-cap stocks). |
| $SMB_t$ | Fama French Size factor (small minus big) in the event window (return spread of small-cap minus big-cap stocks). |
| $HML_s$ | Fama French Value factor (high minus low) in the estimation window (return spread of high versus low book-to-market ("value" minus "growth") stocks). |
| $HML_t$ | Fama French Value factor (high minus low) in the event window (return spread of high versus low book-to-market ("value" minus "growth") stocks). |

## 1.3 Benchmark A: Market Model

The key results of our main paper harness the Market Model detailed by MacKinlay (1997). The next sections set out the estimation procedure used to calculate the resulting cumulative abnormal returns (CARs).

### 1.3.1 Estimation Equation (estimation window)

For $s \in \mathcal{S}$, we estimate the following specification:

$$R_{is} \;=\; \alpha_i \;+\; \beta_i \, R_{ms} \;+\; \varepsilon_{is}, \qquad s \in \mathcal{S}.$$

where $\alpha_i$ is the average stock–specific drift when the market return is zero, $\beta_i R_{ms}$ is the portion of

the return explained by systematic market moves, $\beta_i$ measures the sensitivity of the firm's return in relation to market returns, and $\varepsilon_{is}$ represents idiosyncratic shocks to firm $i$ on day $s$. Ordinary–least–squares (OLS) applied to all 231 estimation–window observations yields the estimates $\hat{\alpha}_i$ and $\hat{\beta}_i$.

#### 1.3.2 Projection of Expected Returns (event window)

For $t \in \mathcal{T}$, we compute expected returns via the specification:

$$E[R_{it}] \;=\; \hat{\alpha}_i \;+\; \hat{\beta}_i \, R_{mt}, \qquad t \in \mathcal{T}.$$

Here, the realised market return $R_{mt}$ on each event–window day is multiplied by the fitted sensitivity $\hat{\beta}_i$ and combined with the fitted constant $\hat{\alpha}_i$ to yield the *normal-period* expectation of the stock's raw return, absent any event influence.

#### 1.3.3 Abnormal and Cumulative Abnormal Returns

To compute cumulative abnormal returns (CARs), we simply compute the abnormal return (AR) for each firm $i$ for each trading day:

$$AR_{it} = R_{it} - E[R_{it}], \qquad t \in \mathcal{T}.$$

The daily abnormal return $AR_{it}$ represents the unexpected component attributable to the event after controlling for contemporaneous market performance. Summing it across the multiple days in our event window period yields the firm-specific CAR:

$$CAR_i(-1,5) = \sum_{t=-1}^{5} AR_{it}, \qquad t \in \mathcal{T}.$$

For a portfolio comprising of $n$ firms (e.g., a portfolio of 1000 firms incorporated in Delaware), the portfolio CAR reflects the simple average of the individual firm-CARs:

$$CAR_{\text{portfolio}}(-1,5) = \frac{1}{n} \sum_{i=1}^{n} CAR_i(-1,5).$$

### 1.4 Benchmark B: Fama-French Three-Factor Model

Compared with the single-factor market model commonly employed in event studies (MacKinlay (1997)), the Fama–French three-factor model (Fama and French (1993)) specifies expected returns as a linear function of the excess market return plus the size (SMB) and value (HML) factors; by attributing to "normal" performance any return component correlated with these systematic influences, it isolates the residual as the cumulative abnormal return (CAR). Although this richer benchmark mitigates omitted-variable bias, the need to estimate additional factor loadings can introduce extra parameter uncertainty and may unintentionally absorb part of the event-induced variation—especially if the event itself alters firms' exposures to SMB or HML—thereby weakening the statistical power to detect genuine abnormal returns.

### 1.4.1 Estimation Equation on Excess Returns

For $s \in \mathcal{S}$, we estimate the following specification:

$$(R_{is} - R_{fs}) = \alpha_i + \beta_i^{MKT} MKT_s + \beta_i^{SMB} SMB_s + \beta_i^{HML} HML_s + \varepsilon_{is}, \qquad s \in \mathcal{S}.$$

where $\beta_i^{MKT}$ represents the firm's exposure to broad market excess returns, $\beta_i^{SMB}$ represents the firm's tilt towards a small–cap versus large–cap factor, $\beta_i^{HML}$ represents the firm's tilt towards a value versus growth factor, and $\alpha_i$ represents the average drift unexplained by the three factors. OLS estimation on the excess returns provides the estimated values of $\hat{\alpha}_i, \hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}$, and $\hat{\beta}_i^{HML}$.

### 1.4.2 Projection of Expected Raw Returns (event window)

For $t \in \mathcal{T}$, we compute expected returns via the specification:

$$E[R_{it}] = R_{ft} + \hat{\alpha}_i + \hat{\beta}_i^{MKT} MKT_t + \hat{\beta}_i^{SMB} SMB_t + \hat{\beta}_i^{HML} HML_t, \qquad t \in \mathcal{T}.$$

Here, the excess market return, SMB factor, and HML factor on each event–window day are multiplied by the fitted parameters $\hat{\alpha}_i, \hat{\beta}_i^{MKT}, \hat{\beta}_i^{SMB}$, and $\hat{\beta}_i^{HML}$, respectively. Combined with the risk-free rate $R_{ft}$, the fitted excess return is reconverted into the raw return scale used by $R_{it}$.

### 1.4.3 Abnormal and Cumulative Returns

To compute cumulative abnormal returns (CARs), we simply follow the procedures outlined in Section 1.3.3 to obtain:

$$AR_{it} = R_{it} - E[R_{it}], \qquad t \in \mathcal{T}.$$

$$CAR_i(-1,5) = \sum_{t=-1}^{5} AR_{it}, \qquad t \in \mathcal{T}.$$

$$CAR_{\text{portfolio}}(-1,5) = \frac{1}{n} \sum_{i=1}^{n} CAR_i(-1,5).$$

# 2 Additional Tables and Figures

Table 2: Cumulative Abnormal Returns Associated with SB 21 (All Companies – Multivariate Regression)

| | (1)<br>CAR[-1,1] | (2)<br>CAR[-1,10] | (3)<br>CAR[-1,20] |
|---|---|---|---|
| Delaware | -0.000 | -0.024*** | -0.019*** |
| | (0.941) | (0.000) | (0.009) |
| Constant | -0.018** | -0.069*** | -0.021 |
| | (0.042) | (0.000) | (0.384) |
| Observations | 1574 | 1574 | 1574 |
| Industry FE | No | No | No |
| Firm Controls | Yes | Yes | Yes |
| R-Sq | 0.012 | 0.048 | 0.016 |
| F Statistic | 2.884 | 12.079 | 4.106 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Table 3: Cumulative Abnormal Returns Associated with SB 21 (Voting Power – Multivariate Regression) (w/o Fixed Effects)

| | CAR[-1,1] | | | CAR[-1,3] | | | CAR[-1,5] | | | CAR[-1,7] | | | CAR[-1,10] | | | CAR[-1,20] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) | (13) | (14) | (15) | (16) | (17) | (18) |
| Voting Block | -0.007 | | | -0.016** | | | -0.026*** | | | -0.030*** | | | -0.023** | | | -0.041* | | |
| | (0.278) | | | (0.024) | | | (0.002) | | | (0.003) | | | (0.037) | | | (0.051) | | |
| >15% | | -0.004 | | | -0.010** | | | -0.015*** | | | -0.019*** | | | -0.016** | | | -0.038*** | |
| | | (0.298) | | | (0.041) | | | (0.008) | | | (0.005) | | | (0.033) | | | (0.000) | |
| 15-33% | | | -0.004 | | | -0.008 | | | -0.011 | | | -0.012 | | | -0.014 | | | -0.035*** |
| | | | (0.439) | | | (0.195) | | | (0.124) | | | (0.123) | | | (0.118) | | | (0.002) |
| >33.3% | | | -0.004 | | | -0.013* | | | -0.020** | | | -0.026*** | | | -0.018* | | | -0.042*** |
| | | | (0.415) | | | (0.063) | | | (0.012) | | | (0.008) | | | (0.096) | | | (0.003) |
| Constant | -0.027** | -0.025** | -0.025** | -0.040*** | -0.034** | -0.036** | -0.030* | -0.024 | -0.026 | -0.054** | -0.044* | -0.048** | -0.083*** | -0.074*** | -0.075*** | -0.023 | 0.005 | 0.004 |
| | (0.022) | (0.034) | (0.034) | (0.009) | (0.031) | (0.027) | (0.085) | (0.204) | (0.166) | (0.016) | (0.052) | (0.041) | (0.001) | (0.003) | (0.003) | (0.468) | (0.864) | (0.903) |
| Observations | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 |
| Industry FE | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.024 | 0.024 | 0.024 | 0.020 | 0.022 | 0.022 | 0.067 | 0.068 | 0.069 | 0.067 | 0.069 | 0.071 | 0.044 | 0.046 | 0.046 | 0.022 | 0.034 | 0.034 |
| F Statistic | 6.551 | 6.348 | 5.603 | 19.558 | 18.819 | 17.269 | 8.770 | 8.001 | 7.382 | 10.137 | 9.712 | 8.682 | 8.879 | 8.583 | 7.567 | 3.036 | 4.359 | 3.830 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Table 4: Cumulative Abnormal Returns Associated with SB 21 (Dual-Class Companies – Multivariate Regression) (w/o Fixed Effects)

| | CAR[-1,1] | | CAR[-1,3] | | CAR[-1,5] | | CAR[-1,7] | | CAR[-1,10] | | CAR[-1,20] | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) |
| Dual Class | -0.002 | -0.017 | -0.019** | -0.034** | -0.027*** | -0.038** | -0.026** | -0.025 | -0.025** | -0.021 | -0.055*** | -0.038 |
| | (0.724) | (0.168) | (0.015) | (0.018) | (0.004) | (0.022) | (0.019) | (0.160) | (0.040) | (0.295) | (0.000) | (0.140) |
| Dual Class × Voting Block | | 0.039* | | 0.037 | | 0.033 | | 0.008 | | -0.002 | | -0.036 |
| | | (0.056) | | (0.139) | | (0.284) | | (0.792) | | (0.950) | | (0.431) |
| Constant | -0.029** | -0.024** | -0.044*** | -0.039** | -0.037** | -0.030* | -0.062*** | -0.055** | -0.089*** | -0.085*** | -0.031 | -0.029 |
| | (0.010) | (0.037) | (0.004) | (0.011) | (0.032) | (0.092) | (0.004) | (0.014) | (0.000) | (0.001) | (0.313) | (0.356) |
| Observations | 917 | 916 | 917 | 916 | 917 | 916 | 917 | 916 | 917 | 916 | 917 | 916 |
| Industry FE | No | No | No | No | No | No | No | No | No | No | No | No |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.023 | 0.028 | 0.026 | 0.029 | 0.074 | 0.078 | 0.069 | 0.072 | 0.047 | 0.048 | 0.037 | 0.039 |
| F Statistic | 6.441 | 6.667 | 25.433 | 20.609 | 8.519 | 7.403 | 9.806 | 9.028 | 9.439 | 7.365 | 4.842 | 3.872 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company has a dual-class voting structure. In Column (2) we control for a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Table 5: Cumulative Abnormal Returns Associated with SB 21 (Voting Power – Multivariate Regression) (with Fixed Effects)

| | CAR[-1,1] | | | CAR[-1,10] | | | CAR[-1,20] | | |
|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) |
| Voting Block | -0.005 | | | -0.022** | | | -0.032* | | |
| | (0.418) | | | (0.048) | | | (0.069) | | |
| >15% | | -0.004 | | | -0.015* | | | -0.031*** | |
| | | (0.266) | | | (0.051) | | | (0.001) | |
| 15-33% | | | -0.004 | | | -0.013 | | | -0.031*** |
| | | | (0.412) | | | (0.158) | | | (0.004) |
| >33.3% | | | -0.004 | | | -0.018 | | | -0.031** |
| | | | (0.391) | | | (0.118) | | | (0.033) |
| Constant | -0.019* | -0.016 | -0.016 | -0.080*** | -0.071*** | -0.072*** | -0.029 | -0.005 | -0.004 |
| | (0.096) | (0.172) | (0.172) | (0.002) | (0.007) | (0.007) | (0.352) | (0.887) | (0.893) |
| Observations | 902 | 903 | 903 | 902 | 903 | 903 | 902 | 903 | 903 |
| Industry FE | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.082 | 0.082 | 0.082 | 0.073 | 0.075 | 0.075 | 0.075 | 0.083 | 0.083 |
| F Statistic | 2.371 | 2.408 | 2.105 | 5.054 | 5.009 | 4.415 | 2.148 | 3.134 | 2.811 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. Following Coles et al. (2018), we use FF17 industry fixed effects given the large number of firms in singleton industries. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Table 6: Cumulative Abnormal Returns Associated with SB 21 (Dual-Class Companies – Multivariate Regression) (with Fixed Effects)

| | CAR[-1,1] | | CAR[-1,10] | | CAR[-1,20] | |
|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) |
| Dual Class | -0.002 | -0.020* | -0.022* | -0.018 | -0.041*** | -0.024 |
| | (0.744) | (0.097) | (0.070) | (0.377) | (0.006) | (0.352) |
| Dual Class × Voting Block | | 0.044** | | -0.003 | | -0.034 |
| | | (0.030) | | (0.933) | | (0.464) |
| Constant | -0.021* | -0.016 | -0.085*** | -0.081*** | -0.034 | -0.032 |
| | (0.065) | (0.163) | (0.001) | (0.002) | (0.279) | (0.306) |
| Observations | 902 | 901 | 902 | 901 | 902 | 901 |
| Industry FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.081 | 0.087 | 0.076 | 0.076 | 0.083 | 0.084 |
| F Statistic | 2.416 | 3.192 | 5.056 | 4.075 | 2.726 | 2.212 |

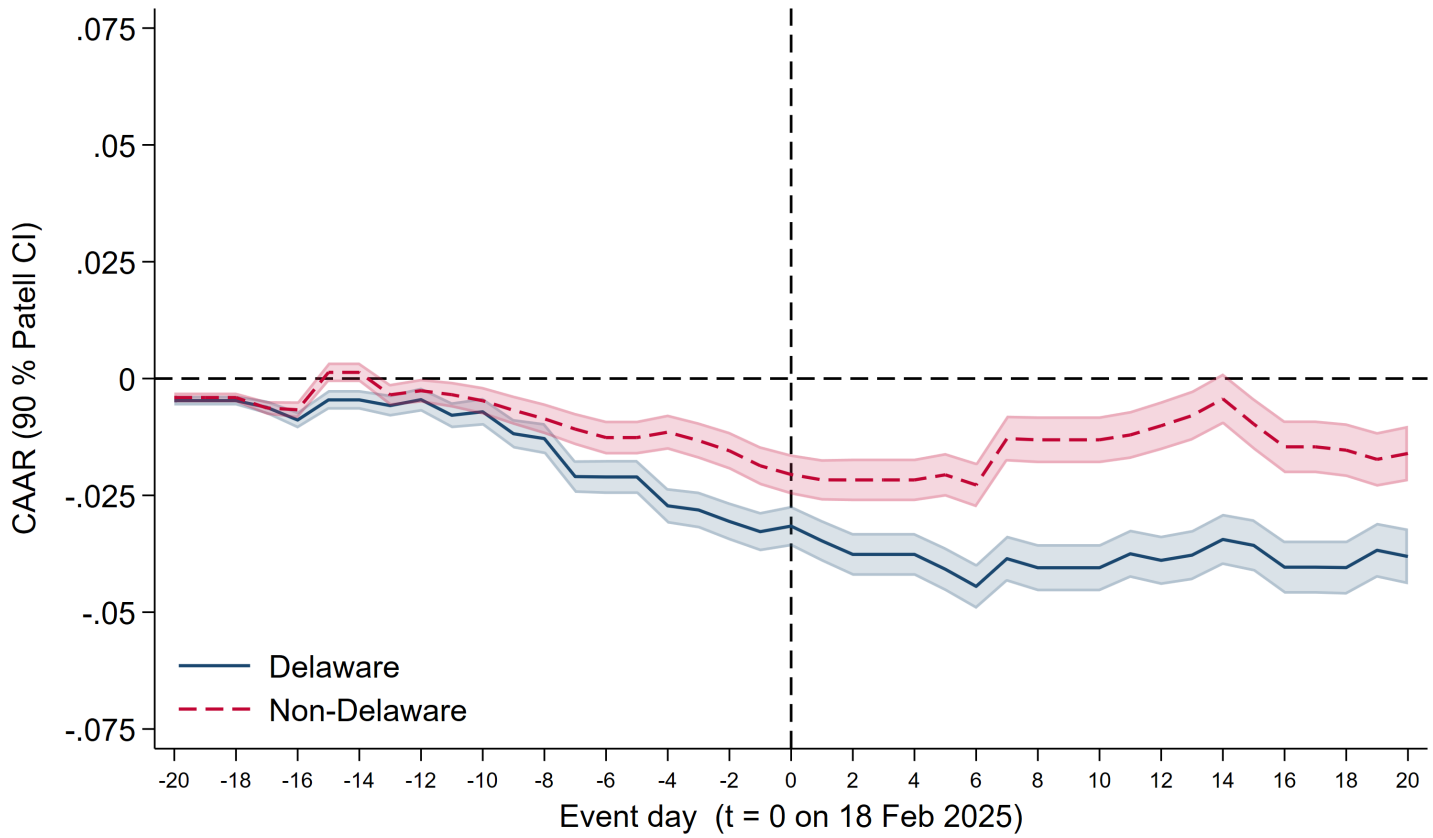
The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company has a dual-class voting structure. In Column (2) we control for a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Following Coles et al. (2018), we use FF17 industry fixed effects given the large number of firms in singleton industries. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Table 7: Fama-French Cumulative Abnormal Returns Associated with SB 21 (All Companies – Multivariate Regression)

| | (1)<br>CAR[-1,1] | (2)<br>CAR[-1,3] | (3)<br>CAR[-1,5] | (4)<br>CAR[-1,7] | (5)<br>CAR[-1,10] | (6)<br>CAR[-1,20] |
|---|---|---|---|---|---|---|
| Delaware | 0.000 | -0.003 | -0.007** | -0.010** | -0.013** | -0.015** |
| | (0.903) | (0.383) | (0.044) | (0.048) | (0.013) | (0.025) |
| Constant | -0.021** | -0.042*** | -0.053*** | -0.055*** | -0.061*** | -0.075*** |
| | (0.047) | (0.000) | (0.000) | (0.001) | (0.000) | (0.002) |
| Observations | 1522 | 1522 | 1522 | 1522 | 1522 | 1522 |
| Industry FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.203 | 0.241 | 0.247 | 0.198 | 0.206 | 0.286 |
| F Statistic | 1.001 | 2.683 | 4.268 | 3.042 | 3.499 | 3.544 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Figure 1: Fama-French Cumulative Abnormal Returns Associated with SB 21 (Delaware vs. Non-Delaware Companies)




The Figure represents the Fama-French cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using standard student t-statistics, cumulated sequentially through the event window.

Table 8: Fama-French Cumulative Abnormal Returns Associated with SB 21 (Voting Power – Multivariate Regression) (w/o Fixed Effects)

| | CAR[-1,1] | | | CAR[-1,3] | | | CAR[-1,5] | | | CAR[-1,7] | | | CAR[-1,10] | | | CAR[-1,20] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) | (13) | (14) | (15) | (16) | (17) | (18) |
| Voting Block | -0.006 | | | -0.012 | | | -0.021** | | | -0.025** | | | -0.023* | | | -0.045*** | | |
| | (0.518) | | | (0.211) | | | (0.020) | | | (0.026) | | | (0.072) | | | (0.003) | | |
| >15% | | -0.002 | | | -0.006 | | | -0.011** | | | -0.014** | | | -0.014** | | | -0.035*** | |
| | | (0.538) | | | (0.168) | | | (0.029) | | | (0.022) | | | (0.034) | | | (0.000) | |
| 15-33% | | | -0.003 | | | -0.007 | | | -0.009 | | | -0.010 | | | -0.010 | | | -0.032*** |
| | | | (0.486) | | | (0.214) | | | (0.151) | | | (0.151) | | | (0.205) | | | (0.001) |
| >33.3% | | | -0.001 | | | -0.005 | | | -0.013* | | | -0.018** | | | -0.019* | | | -0.039*** |
| | | | (0.803) | | | (0.376) | | | (0.057) | | | (0.047) | | | (0.057) | | | (0.002) |
| Constant | -0.030** | -0.029** | -0.029** | -0.043*** | -0.041*** | -0.041*** | -0.046*** | -0.042*** | -0.043*** | -0.054*** | -0.048** | -0.050** | -0.074*** | -0.067*** | -0.069*** | -0.077*** | -0.056** | -0.057** |
| | (0.012) | (0.018) | (0.022) | (0.001) | (0.004) | (0.005) | (0.002) | (0.007) | (0.007) | (0.007) | (0.021) | (0.020) | (0.001) | (0.003) | (0.002) | (0.005) | (0.047) | (0.043) |
| Observations | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 | 917 | 918 | 918 |
| Industry FE | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No | No |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.015 | 0.015 | 0.015 | 0.023 | 0.023 | 0.023 | 0.028 | 0.029 | 0.029 | 0.020 | 0.021 | 0.022 | 0.021 | 0.023 | 0.024 | 0.026 | 0.037 | 0.038 |
| F Statistic | 3.824 | 3.868 | 3.521 | 5.891 | 6.127 | 5.514 | 5.350 | 5.166 | 4.579 | 6.000 | 5.965 | 5.415 | 9.088 | 9.143 | 8.374 | 3.218 | 4.454 | 3.966 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Table 9: Fama-French Cumulative Abnormal Returns Associated with SB 21 (Dual-Class Companies – Multivariate Regression) (w/o Fixed Effects)

| | CAR[-1,1] | | CAR[-1,3] | | CAR[-1,5] | | CAR[-1,7] | | CAR[-1,10] | | CAR[-1,20] | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) |
| Dual Class | -0.003 | -0.023* | -0.009 | -0.027** | -0.019** | -0.033** | -0.017* | -0.021 | -0.018 | -0.019 | -0.042*** | -0.045* |
| | (0.636) | (0.058) | (0.197) | (0.048) | (0.018) | (0.024) | (0.088) | (0.207) | (0.101) | (0.305) | (0.002) | (0.056) |
| Dual Class × Voting Block | | 0.051** | | 0.048** | | 0.041 | | 0.020 | | 0.013 | | 0.020 |
| | | (0.017) | | (0.047) | | (0.106) | | (0.496) | | (0.714) | | (0.623) |
| Constant | -0.032*** | -0.026** | -0.047*** | -0.040*** | -0.052*** | -0.045*** | -0.061*** | -0.054*** | -0.080*** | -0.075*** | -0.089*** | -0.081*** |
| | (0.006) | (0.030) | (0.000) | (0.003) | (0.000) | (0.003) | (0.002) | (0.008) | (0.000) | (0.001) | (0.001) | (0.003) |
| Observations | 917 | 916 | 917 | 916 | 917 | 916 | 917 | 916 | 917 | 916 | 917 | 916 |
| Industry FE | No | No | No | No | No | No | No | No | No | No | No | No |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.015 | 0.022 | 0.024 | 0.028 | 0.033 | 0.037 | 0.021 | 0.023 | 0.023 | 0.024 | 0.034 | 0.035 |
| F Statistic | 3.664 | 4.296 | 5.437 | 5.307 | 5.733 | 4.882 | 6.674 | 5.511 | 10.627 | 8.214 | 3.426 | 2.977 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company has a dual-class voting structure. In Column (2) we control for a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Table 10: Fama-French Cumulative Abnormal Returns Associated with SB 21 (Voting Power – Multivariate Regression) (with Fixed Effects)

| | CAR[-1,1] | | | CAR[-1,3] | | | CAR[-1,5] | | | CAR[-1,7] | | | CAR[-1,10] | | | CAR[-1,20] | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) | (13) | (14) | (15) | (16) | (17) | (18) |
| Voting Block | -0.004 | | | -0.008 | | | -0.019** | | | -0.023** | | | -0.022* | | | -0.037** | | |
| | (0.614) | | | (0.376) | | | (0.041) | | | (0.041) | | | (0.092) | | | (0.016) | | |
| >15% | | -0.004 | | | -0.006 | | | -0.011** | | | -0.014** | | | -0.015** | | | -0.032*** | | |
| | | (0.379) | | | (0.164) | | | (0.035) | | | (0.028) | | | (0.033) | | | (0.000) | |
| 15-33% | | | -0.005 | | | -0.008 | | | -0.009 | | | -0.010 | | | -0.011 | | | -0.031*** |
| | | | (0.357) | | | (0.153) | | | (0.131) | | | (0.161) | | | (0.178) | | | (0.001) |
| >33.3% | | | -0.002 | | | -0.005 | | | -0.012* | | | -0.018* | | | -0.019* | | | -0.033** |
| | | | (0.669) | | | (0.466) | | | (0.083) | | | (0.058) | | | (0.062) | | | (0.011) |
| Constant | -0.023** | -0.021* | -0.020 | -0.042*** | -0.038** | -0.037** | -0.051*** | -0.046*** | -0.047*** | -0.054*** | -0.047** | -0.049** | -0.067*** | -0.058** | -0.060** | -0.078*** | -0.055* | -0.055* |
| | (0.049) | (0.096) | (0.112) | (0.003) | (0.011) | (0.015) | (0.001) | (0.005) | (0.005) | (0.009) | (0.030) | (0.028) | (0.003) | (0.012) | (0.011) | (0.005) | (0.056) | (0.057) |
| Observations | 902 | 903 | 903 | 902 | 903 | 903 | 902 | 903 | 903 | 902 | 903 | 903 | 902 | 903 | 903 | 902 | 903 | 903 |
| Industry FE | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.068 | 0.069 | 0.069 | 0.069 | 0.070 | 0.070 | 0.068 | 0.069 | 0.070 | 0.048 | 0.050 | 0.050 | 0.047 | 0.050 | 0.050 | 0.061 | 0.072 | 0.072 |
| F Statistic | 2.022 | 2.101 | 2.002 | 5.245 | 5.508 | 5.422 | 4.254 | 4.339 | 3.820 | 3.494 | 3.646 | 3.326 | 5.068 | 5.354 | 4.786 | 2.912 | 4.213 | 3.867 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and dummy variables indicating whether the company's voting block is less than 15%, between 15% and 33.3%, or greater than 33.3%. Following Coles et al. (2018), we use FF17 industry fixed effects given the large number of firms in singleton industries. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

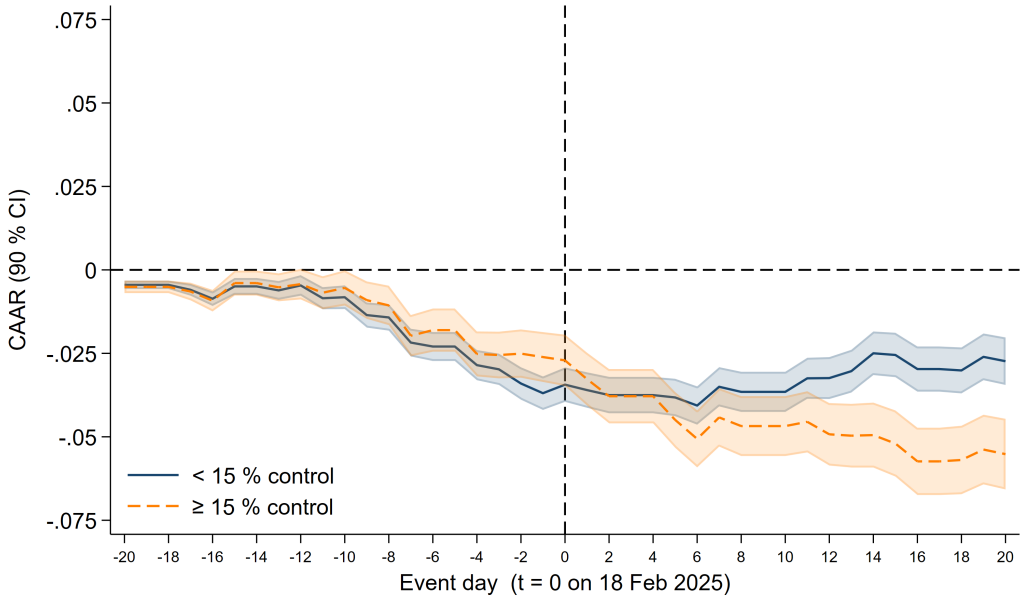
Table 11: Fama-French Cumulative Abnormal Returns Associated with SB 21 (Dual-Class Companies – Multivariate Regression) (with Fixed Effects)

| | CAR[-1,1] | | CAR[-1,3] | | CAR[-1,5] | | CAR[-1,7] | | CAR[-1,10] | | CAR[-1,20] | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) | (6) | (7) | (8) | (9) | (10) | (11) | (12) |
| Dual Class | -0.003 | -0.026** | -0.007 | -0.027* | -0.016* | -0.031** | -0.015 | -0.021 | -0.017 | -0.020 | -0.032** | -0.036 |
| | (0.633) | (0.031) | (0.340) | (0.053) | (0.053) | (0.038) | (0.149) | (0.218) | (0.141) | (0.289) | (0.018) | (0.126) |
| Dual Class × Voting Block | | 0.056*** | | 0.049** | | 0.044* | | 0.026 | | 0.019 | | 0.022 |
| | | (0.008) | | (0.037) | | (0.094) | | (0.387) | | (0.592) | | (0.591) |
| Constant | -0.025** | -0.018 | -0.044*** | -0.038*** | -0.055*** | -0.048*** | -0.060*** | -0.053** | -0.072*** | -0.067*** | -0.086*** | -0.078*** |
| | (0.034) | (0.122) | (0.001) | (0.007) | (0.000) | (0.002) | (0.003) | (0.012) | (0.001) | (0.004) | (0.002) | (0.005) |
| Observations | 902 | 901 | 902 | 901 | 902 | 901 | 902 | 901 | 902 | 901 | 902 | 901 |
| Industry FE | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.068 | 0.076 | 0.069 | 0.074 | 0.070 | 0.074 | 0.048 | 0.050 | 0.048 | 0.049 | 0.066 | 0.067 |
| F Statistic | 2.006 | 3.079 | 5.017 | 5.185 | 4.267 | 3.964 | 3.460 | 3.294 | 5.062 | 4.164 | 2.689 | 2.464 |

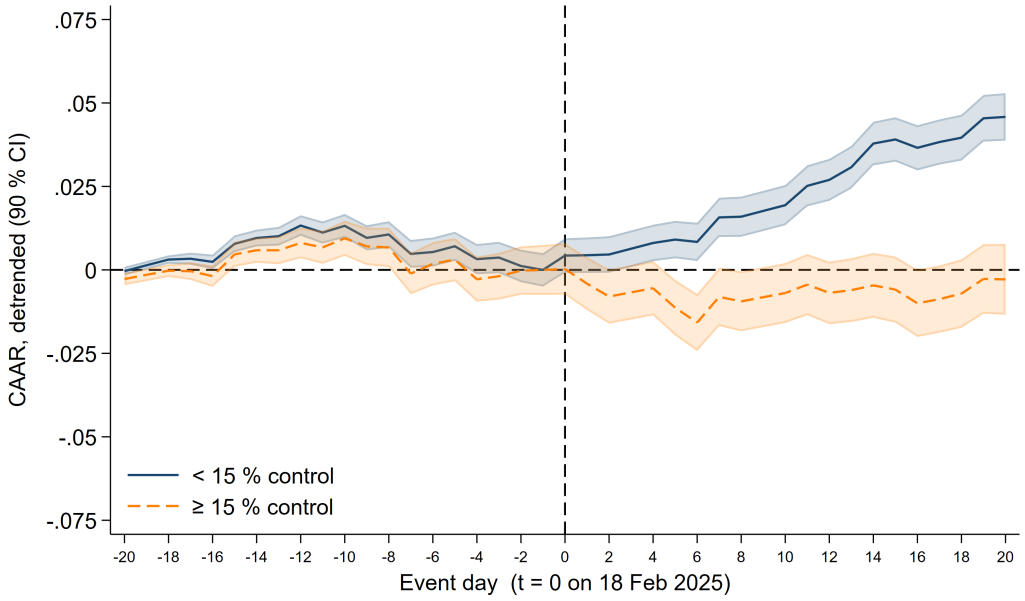
The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company has a dual-class voting structure. In Column (2) we control for a continuous variable measuring the percentage of votes that may be exercises by the shareholder(s) with the greatest voting power ("Voting Block") and we interact the two variables. Following Coles et al. (2018), we use FF17 industry fixed effects given the large number of firms in singleton industries. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Figure 2: Fama-French Cumulative Abnormal Returns Associated with SB 21 (Voting Power)

(a) Panel A




(b) Panel B




Panels A and B of this Figure represent the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using standard student t-statistics, cumulated sequentially through the event window. Panel A represents the baseline cumulative abnormal returns without adjustment. Panel B CARs are linearly de-trended by estimating $\hat{\alpha}+\hat{\beta}t$ on the pre-event window (t=-20) to (t=-1) for each subset of firms and subtracting the fitted values from the entire series. The resulting residuals are then re-anchored so that day –1 equals zero, making all reported CARs deviations from that last pre-event day.

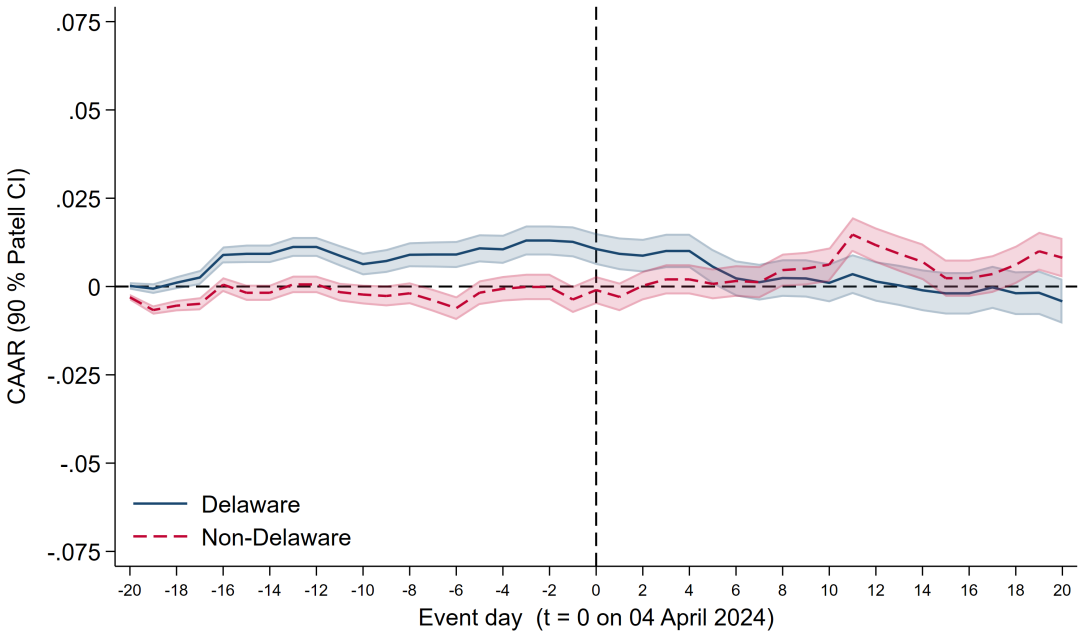
Table 12: Fama-French Cumulative Abnormal Returns Associated with Match (All Companies – Multivariate Regression)

| | (1)<br>CAR[-1,1] | (2)<br>CAR[-1,3] | (3)<br>CAR[-1,5] | (4)<br>CAR[-1,7] | (5)<br>CAR[-1,10] | (6)<br>CAR[-1,20] |
|---|---|---|---|---|---|---|
| Delaware | 0.001 | -0.001 | -0.002 | -0.006 | -0.004 | -0.010 |
| | (0.775) | (0.862) | (0.621) | (0.138) | (0.266) | (0.111) |
| Constant | -0.009 | -0.007 | -0.009 | -0.012 | -0.005 | -0.008 |
| | (0.121) | (0.434) | (0.305) | (0.299) | (0.709) | (0.723) |
| Observations | 1512 | 1512 | 1512 | 1512 | 1512 | 1512 |
| Industry FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.253 | 0.221 | 0.217 | 0.219 | 0.282 | 0.238 |
| F Statistic | 2.041 | 1.476 | 1.371 | 1.683 | 2.902 | 1.639 |

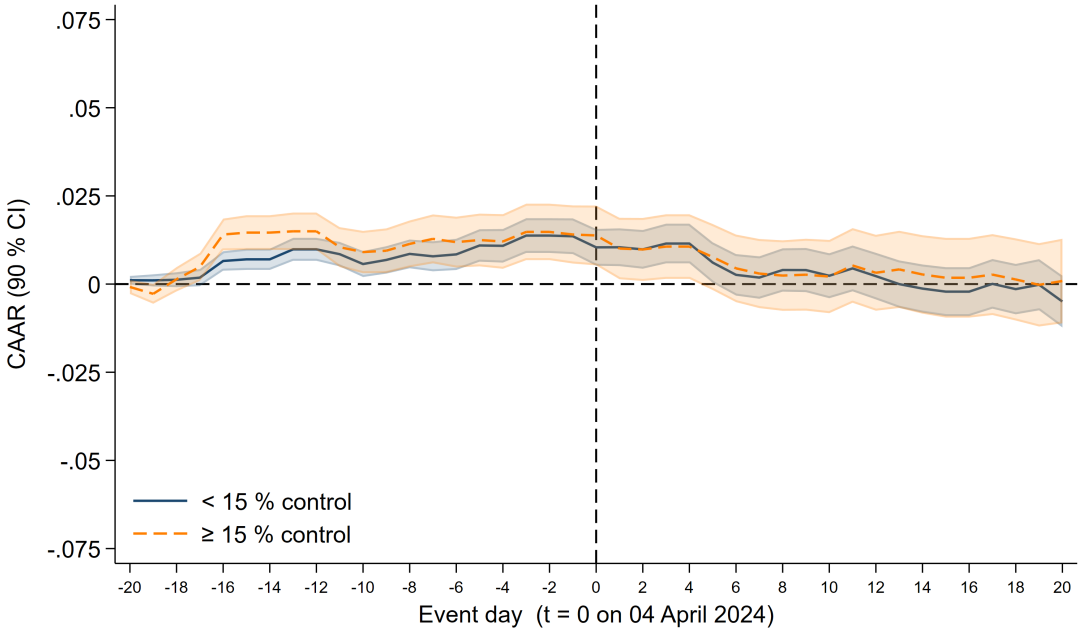
The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

Figure 3: Fama-French Cumulative Abnormal Returns Associated with Match

(a) Panel A




(b) Panel B




Panel A represents the cumulative abnormal returns of Delaware and non-Delaware companies from twenty trading days before and twenty trading days after the event, while Panel B represents the cumulative abnormal returns of Delaware companies with a voting block less than 15% and other Delaware companies from twenty trading days before and twenty trading days after the event. CARs are reported in decimals, so a CAR of 0.01 represents a 1% abnormal return over the market index. Shaded bands indicate 90% confidence intervals constructed using standard student t-statistics, cumulated sequentially through the event window.

Table 13: Cumulative Abnormal Returns Associated with SB21-related Event (March 11) (All Companies – Multivariate Regression)

| | (1)<br>CAR[-1,1] | (2)<br>CAR[-1,3] | (3)<br>CAR[-1,5] | (4)<br>CAR[-1,7] | (5)<br>CAR[-1,10] | (6)<br>CAR[-1,20] |
|---|---|---|---|---|---|---|
| Delaware | 0.005 | 0.005 | 0.006 | 0.007 | 0.011** | 0.007 |
| | (0.159) | (0.222) | (0.167) | (0.140) | (0.036) | (0.370) |
| Constant | 0.037*** | 0.018 | 0.021 | 0.012 | -0.013 | 0.085*** |
| | (0.004) | (0.263) | (0.295) | (0.534) | (0.494) | (0.003) |
| Observations | 1476 | 1476 | 1476 | 1476 | 1476 | 1476 |
| Industry FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm Controls | Yes | Yes | Yes | Yes | Yes | Yes |
| R-Sq | 0.315 | 0.272 | 0.258 | 0.275 | 0.265 | 0.287 |
| F Statistic | 17.946 | 19.406 | 8.700 | 23.855 | 5.239 | 6.165 |

The Table reports the results of an OLS regression of cumulative abnormal returns on a dummy variable indicating whether the company is incorporated in Delaware. Industry fixed-effects are included at the SIC 3-digit code level. Firm controls include the firm-level financial variables reported in Table 2. The event date is February 18, 2025. * significant at the 10% level; ** significant at the 5% level; *** significant at the 1% level. P-values are reported in parentheses. We cluster standard-errors at the firm-level.

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